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IA 69 : (1923) 18 LW 383 : AIR 1922 PC 403 : (1923) 44 Mad LJ
489 (PC) : (1923) 26 OC 223 : ILR (1923) 45 All 179

Privy Council

Reported in Calcutta Weekly Notes

[Appeal from the Supreme Court of the Judicial Commissioner of
Oudh]

LORD BUCKMASTER, SIR JOHN EDGE, SIR LAWRENCE JENKINS AND LORD
SALVESEN, JJ.

Thakurain Harnath Kuar ... Appellant;

Versus

Thakur Indar Bahadur Singh ... Respondent.

Decided on November 28, 1922, [Heard on October 26, 1922 and
October 27, 1922]

Oudh Estates Act (I of 1869), List II, estate of Hindu Talukdar included in, succession to — Transfer by reversionary heir during life-time of widow whether governed by Hindu law — Interest, an expectancy and not transferable — decree in his, favour against widow, declaring him entitled to succeed after her death, if confers vested interest in estate — Transfer of spes successionis for consideration — Suit to recover consideration, if lies — Contract Act (IX of 1872), sec. 65 — Agreement void from inception, if within section — Limitation — Time from which limitation runs, when agreement discovered to be void — Limitation Act (IX of 1908), Sch. I, Arts. 62, 97 — Pleadings, defective — Relief given upon materials on record.

Under the Oudh Estates Act, the succession to collaterals opens on the death of the widow just as under Hindu law.

Under the ordinary Hindu law, transfer by such a collateral of his expectancy to succeed to the estate on the death of the widow of the last male owner is inoperative.

The widows of the last male owner of an estate in Oudh, entered in List II attached to the Oudh Estates Act. I of 1869, having set up a Will of the deceased husband, empowering them to adopt, the then next reversionary heir expectant sued the widows and obtained against them a declaration that the Will was void and invalid and that he was entitled to succeed to the estate on the death of the last surviving widow:

Held :

That the decree was binding only on the widows and the Court of Wards which had taken over the estate and did not create in the Plaintiff an interest in the estate

that did not otherwise exist.

Held therefore—That a purchaser of the estate from the Plaintiff in the suit, in the life-time of the widows, was not entitled to recover possession on the strength of his purchase.

That the purchaser was entitled to recover the consideration money which he paid, under sec. 65 of the Indian Contract Act, limitation for such a suit running from the date when he discovered that the sale was void.

Sec. 65 of the Contract Act deals with (a) contracts which become void and (b) agreements not enforceable as contracts and therefore void from their inception. An agreement discovered to be void, within the meaning of the section, is therefore one discovered to be not enforceable by law from its inception as distinct from a contract which becomes void.

There being materials on the records justifying the Court in holding that there was a misapprehension on the part of the purchaser as to the rights of his vendor in the estate he professed to transfer and that the true nature of those rights was not discovered, by him until his demand for possession was resisted, and that this



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date was well within the period of limitation, the Judicial Committee gave him, a decree for recovery of the consideration money in accordance with the provisions of sec. 65 of the Contract Act, although the case, as bearing on the provisions of this section, had not been satisfactorily presented or developed in the pleadings and the proceedings before the lower Courts.

This was an appeal from a decree, dated the 20th March 1918, of the Court of the Judicial Commissioner of Oudh (Lindsay and Stuart, J.C.), affirming a decree of the Subordinate Judge of Bara Banki, dated the 3rd August 1915.

The Plaintiff-Appellant sued to recover possession of the properties specified in the plaint, under a deed of sale executed by the Defendant-Respondent on the 2nd January 1880. Both the Courts below have held that what was sold by the Respondent in 1880 was a mere right of expectancy, and that the sale thereof was absolutely null and void, and that the Appellant could not recover possession of the properties sold from the Respondent, who was admittedly the owner in possession thereof. The appeal raised questions of law relating to the construction of the terms of the sale-deed: the meaning and effect of secs. 2 and 22 of the Oudh Estates Act, 1869, and the application of the law of limitation.

The facts of the case determined concurrently by the Courts below may be shortly stated as follows:—One Bhaya Naipal Singh was the owner of two Taluqas, named Paska and Lilar, situate in the districts of Gonda and Bara Banki respectively, and both these Estates are entered in List II, attached to the Oudh Estates Act, I of 1869, that is to say, they were Estates which, according to the family custom, ordinarily “devolved upon a single heir,” under the provisions of sec. 8 of the said

Act.

The said Taluqdar died childless on the 28th October 1873, leaving two widows, namely, Thakurain Iklas Kuar and Chhoti Thakurain, him surviving, and the widows thereupon became tenants for their respective lives of the two Estates. The widows were not "heirs" of the deceased Taluqdar, for the word "heir" is defined by the Oudh Estates Act, 1869, as follows:—"Heir" means a person who inherits property *otherwise than as a widow* under the special provisions of the Act."

The Respondent claimed to be the heir of the deceased Taluqdar, and when the said widows put forward a Will of their husband, purporting to empower them to adopt a son, the Respondent instituted a suit against them in 1878, for a declaration that the Will alleged by the widows was invalid, and that the Respondent was the heir of the deceased Taluqdar, subject to the life estates of the widow's. The Respondent's claim was decreed on the 22nd October 1878, by the Deputy Commissioner of Bara Banki in terms following:—

"Such evidence, oral and documentary, as the Plaintiff produced having been heard and due consideration having been given to what was alleged by his representatives, the Court orders and decrees that the Will, dated 15th October 1873, copy of which is filed with this suit, is declared void and invalid and the Plaintiff is declared entitled to succeed to Paska and Lilar Estates on the death of the last surviving widow of the late Naipal Singh."

In 1878 the Respondent was a poor man, and sums amounting to Rs. 20,000 were advanced to him by the Appellant's husband, Raja Slier Bahadur Singh, for the purpose of the litigation described above and other expenses. On the 2nd January



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1880, the Respondent executed the deed of sale on which the present suit was brought by the Appellant. It was in the following terms:—

"I (*i.e.*, Indar Bahadur Singh) have borrowed Rs. 5,000 more from Rachpal Singh, son of Raja Sher Bahadur Singh, the aforesaid Taluqdar, bringing the total to Rs. 25,000. I, in lieu of this entire amount of Rs. 25,000, and on account of the help and co-operation of the said Taluqdar which he rendered to me out of his estate at such a critical moment, do hereby absolutely sell, while in the enjoyment of sound health and unimpaired intellect, without reluctance and coercion, while in the full possession of all the five senses, with my consent and free will, half of all the villages, detailed below, in the aforesaid Taluqa, consisting of 39 villages in Pargana Dariyabad and Budaoli, District Bara Banki, and Pargana Gwarich, District Gonda, to Rachpal Singh, occupation Taluqdari, son of Raja Sher Bahadur Singh, Thakur, Kalhans, resident and Taluqdar of Karnyar, etc., Pargana Dariyabad, District Bara Banki. I, having received the entire consideration money from the said vendee, appropriated the same and brought it to my use by spending the same in fighting out the case and for other necessities. Therefore I do hereby declare, and put it into

writing, that after the death of the said ladies, or whenever I may get possession over the said Taluqa, I shall put the vendee immediately in proprietary possession of half the villages of the said Taluqa as vendee thereof. I shall also get the name of the said vendee recorded in the decree relating to the said Taluqa passed in my favour by the Civil Court, on the 22nd October 1878, to the extent of a moiety of the entire Taluqa, that in case I delay the same, the said vendee will be at liberty, on the basis of this deed, to move the Court and take proprietary possession as purchaser of the said villages and to get the mutation of names effected by a competent Court in his favour."

The younger widow, Chhoti Thakurain, died in or about 1907, and the other widow died on the 10th May 1911, and upon her death the Respondent obtained possession of the Estates in question. The Appellant applied for mutation of her name (her husband and son having died) in respect of the villages in question, in pursuance of the terms of the said deed of sale, but the Respondent opposed her application repudiating the sale, and by an order of the 16th July 1912, her application was dismissed on the following ground:—

"Possession is clearly with the Despondent. The Appellant's obvious course is to sue in the Civil Court,"

The Plaintiff thereupon filed the present suit on the 9th May 1914, in the Court of the Subordinate Judge of Bara Banki.

The Subordinate Judge found "that all the Rs. 25,000 were paid to the Defendant" and that the sale was not induced by any undue influence. But the learned Subordinate Judge found the issues of law against the Plaintiff. He held that at the time of executing the conveyance the Defendant did not possess anything more than a mere right of expectancy in the property sold by him, and that the transfer of such a right was void, under sec. 6 of the Transfer of Property Act, IV of 1882.

The Subordinate Judge further held that the alternative claim of the Plaintiff to recover the purchase money was barred by limitation, observing as follows:—

"In I.L.R. 15 Calcutta, 51, it was held that purchase money paid for a consideration



which has wholly failed (as in the present case) is money received for the use of the buyer, and a suit to recover back the money is governed by Art. 62 of the Limitation Act, time having commenced to run from the date of payment of the purchase money..... I accordingly find that the suit for recovery of the money is time-barred."

In the result the Subordinate Judge made a decree dismissing the Plaintiff's suit with costs, and from that decree the Plaintiff appealed to the Court of the Judicial Commissioner of Oudh, which delivered judgment on the 20th March 1918.

The learned Judicial Commissioners affirmed the findings of the Subordinate Judge. They agreed with him in holding that the Respondent did not possess anything more than a mere right of expectancy at the time of executing the conveyance and that a “transfer by a reversioner of his expectant interest is not permitted by the Hindu law.” They accordingly held that the sale was void under the Hindu law and not under sec. 6 of the Transfer of Property Act, 1882, which in their opinion was inapplicable to the sale of the 2nd January 1880, a date prior to the Act coming into operation.

They were further of opinion that the principle of English law which allows a subsequently acquired interest to feed the estoppel did not apply to conveyances in India.

The learned Judicial Commissioners therefore made a decree dismissing the Plaintiff's appeal with costs, and from that decree the Appellant appealed to His Majesty in Council.

Sir Geo. Lowndes, K.C. and Mr. Dube for the Appellant.—This was not a question of “*spes successionis*.” The decree of 1873 declared the vendor to be the “heir” and gave him a vested interest. Under later decisions of the Judicial Committee that decree may have been wrong since it has now been decided that the succession under Act I of 1869 did not open till the death of the widow, but inasmuch as the Plaintiff had been declared to have a vested interest the dictum in *Sham Sunder Lal v. Achhan Kunwar* ⁽¹⁾ that Hindu law does not recognise the transfer of a reversionary interest is inapplicable.

In any event it was a good contract and effectual on the principle of feeding the grant by estoppel.

In *Tilakdhari Lal v. Khedan Lal* ⁽²⁾, the Board were unwilling to apply this doctrine to India in the absence of information as to local law, but the principle has been introduced into sec. 18 of the Specific Relief Act and sec. 43 of the Transfer of Property Act and so cannot be said to be contrary to Hindu law. To some extent *Sumsuddin Goolum Hosein v. Abdul Hosein* ⁽³⁾ is against me but the effect of that is merely that the document did not pass the property.

[LORD BUCKMASTER.— Does equity help you if you are dealing with an interest that is not capable of transfer?]

Even if we are not entitled to recover the property we are entitled to restitution upon a total failure of consideration.

When it was “discovered that the agreement was void,” a cause of action arose under sec. 65 of the Indian Contract Act.

Basso Kuar v. Dhum Singh ⁽⁴⁾.

Messrs DeGruyther, K.C., Parikh and S.C. Chaudhuri for the Respondent.—The decree of 1873 did not decide on a consideration of Act I of 1869.

Apart from sec. 6 of the Transfer of Property Act, which was not then passed, a reversionary interest cannot be transferred in Hindu law.

Sham Sunder Lal v. Achhan Kunwar ⁽¹⁾ and *Sumsuddin Goolum Hosein v. Abdul Hosein* ⁽³⁾.

The principle is clearly laid down there and is in consonance with the nature of rights in Hindu law.

This is not a case of “Imperfect title” so that sec. 18 of the Specific Relief Act is not applicable, nor is sec. 43 of the Transfer of Property Act.

The agreement was not “discovered to be void” as in *Basso Kuar v. Dhum Singh* ⁽⁴⁾. It was actually void at the time. There was no consideration for the payment and sec. 23 of the Contract Act applied.

Sec. 65 of the Contract Act does not apply to a contract void in law when made. It applies where facts subsequently discovered show it to be void. As for instance in the illustration to sec. 20. As regards limitation, Art. 62 applies and not Art. 97.

Hanuman Kamat v. Hanuman Mandur ⁽⁵⁾.

Sir G. Lowndes, K.C. in reply.

Sec. 65 of the Contract Act applies to an agreement void when made irrespective of the knowledge of the contracting parties.

Gulabchand v. Fulbai ⁽⁶⁾ and *Jijibhoy v. Nagji* ⁽⁷⁾.

Art. 97 of the Limitation Act applies and time runs from the moment of discovery that the agreement was void.

Basso Kuar v. Dhum Singh ⁽⁴⁾.

Their Lordships' Judgment was delivered by

SIR LAWRENCE JENKINS, J.:— This is an appeal from a decree, dated the 20th March 1918, of the Court of the Judicial Commissioner of Oudh, which affirmed a decree, dated the 3rd August 1915, of the Subordinate Judge of Bara Banki.

The suit is for the possession of the villages specified in the plaint with an alternative prayer for the payment of money. Both the lower Courts have decided adversely to the Plaintiff on each of these claims, and the suit has been dismissed with costs. From this decision the present appeal has been preferred.

The Plaintiff's claim to the villages rests on an instrument which purports to have been a transfer on sale executed on the 2nd January 1880, by the Defendant, Indar Bahadur Singh, in favour of Rachpal Singh, the Plaintiff's deceased husband.

The villages were part of two taluqas in Oudh, known as Paska and Lilar, and owned by Thakur Naipal Singh, whose name was entered in

List II attached to the Oudh Estates, Act I, of 1869, as estates which, according to the custom of the family, ordinarily devolved upon a single heir.

Thakur Naipal Singh died childless on the 28th October 1873, leaving him surviving his two widows, Thakurain Iklas Kuar and Thakurain Chhoti. According to



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Hindu law, the Defendant Indar Singh was the next reversioner. The widows set up a Will as that of their deceased husband, and claimed that it empowered them to adopt. Indar Singh thereupon instituted a suit against them and the Court of Wards, who had taken over the estates, and, by the decree of the Deputy Commissioner of Bara Banki, dated the 22nd October 1878, the alleged Will was declared void and invalid, and Indar Singh was declared "entitled to succeed to Pasha and Lilar estates on the death of the last surviving widow of the late Naipal Singh."

It is the Plaintiff's case that in 1878 her husband, Rachpal Singh, advanced Rs. 20,000 for this litigation and other expenses to Indar Singh, who was a poor man and that in 1880, on a further advance of Rs. 5,000, Indar Singh executed the instrument of transfer on which this suit is brought.

Both Courts have held that the transfer was inoperative, as Indar Singh at its date had no interest capable of transfer but merely an expectancy.

It cannot be disputed that, according to the ordinary Hindu law, this is the true view, but the Plaintiff, to escape from this predicament, contends that the rights of Indar Singh must be determined by reference to the provisions of the Oudh Estates Act and the declaration contained in the Deputy Commissioner's decree.

Whatever the view that may once have prevailed, it is now established that under the Oudh Estates Act the succession to collaterals opens on the death of the widow just as under the ordinary Hindu law, and it necessarily follows that in January 1880, Indar Singh had no more than an expectancy, and he had no interest in the villages which he was competent to transfer or bind.

Nor, in their Lordships' opinion, was this position modified by the Deputy Commissioner's decree. As the suit was constituted, the Deputy Commissioner could only have made a declaration binding on the widows and the Court of Wards, and it certainly was not within his competence to make a valid declaration that would create in Indar

Singh's favour an interest in the villages that did not otherwise exist. The claim for possession was, therefore, rightly rejected.

And so it becomes necessary to consider the claim for payment of money. The amount demanded is Rs. 1,28,033-4-8, and this is made up of Rs. 25,000 principal and Rs. 1,03,033-4-8 interest at Re. 1 per cent, per month from the 2nd January 1880, to the 5th May 1914.

The payment of the Rs. 25,000 is established, and the Defendant's pleas that the instrument of the 2nd January 1880 was executed under undue influence and was extortionate have failed, but the claim for recovery of the money has been held to be barred by limitation.

Before this Board, the claim has been based on sec. 65 of the Contract Act. It is there provided that "when an agreement is discovered to be void, or when a contract becomes void, any person who has received any advantage under such agreement or contract is bound to restore it or to make compensation for it to the person from whom he received it."

So framed, the Plaintiff's claim to compensation rests, not on any principle or formula of English law, but on the words of this section, and it has to be seen whether the facts of this case come within its scope. The section deals with (a) agreements and (b) contracts. The distinction between them is apparent from sec. 2. By cl. (e) every promise and every set of promises forming the consideration for



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each other is an agreement, and by cl. (h) an agreement enforceable by law is a contract. Sec. 65, therefore, deals with (a) agreements enforceable by law and (b) with agreements not so enforceable. By cl. (g) an agreement not enforceable by law is said to be void.

An agreement, therefore, discovered to be void is one discovered to be not enforceable by law, and, on the language of the section, would include an agreement that was void in that sense from its inception as distinct from a contract that becomes void.

The agreement here was manifestly void from its inception, and it was void because its subject-matter was incapable of being bound in the manner stipulated.

Though this aspect of the case has not been satisfactorily presented or developed in the pleadings and the proceedings before the lower Courts, their Lordships think there are materials on the record from which it may be fairly inferred in the peculiar circumstances of this case that there was a misapprehension as to the private rights of Indar Singh in the villages which he purported to sell by the instrument of

the 2nd January 1880, and that the true nature of those rights was not discovered by the Plaintiff or Rachpal Singh earlier than the time at which his demand for possession was resisted, and that was well within the period of limitation.

It was thus that the agreement was discovered to be void, and the discovery in their Lordships' view, was one within the words and the meaning of sec. 65 of the Contract Act.

The Plaintiff, therefore, though not entitled to recover possession of the villages, is entitled to recover compensation, and in assessing that compensation their Lordships consider it should include the sum of Rs. 25,000 found by both Courts to have been paid to Indar Singh, and also, in the circumstances of this case, interest, not at the rate or for the period claimed by the Plaintiff, but at 6 per cent, from the date of the institution of this suit. Their Lordships will, therefore, humbly advise. His Majesty that the decree under appeal should be varied in accordance with this opinion, and that the Respondent should pay the costs of the Plaintiff in both the lower Courts. The costs of this appeal must be paid by the Respondent.

Solicitors: *Messrs Barrow, Rogers and Nevill* for the Appellant.

Solicitors: *Messrs T.L. Wilson & Co.* for the Respondent.

G.D.M.

⁽¹⁾ L.R. 25 I.A. 183, 189: s.c. I.L.R. 21 All. 71; 2 C.W.N. 729 (1898).

⁽²⁾ L.R. 47 I.A. 239 at p. 254: s.c. I.L.R. 48 Cal. 1 : 25 C.W.N. 49 (1920).

⁽³⁾ I.L.R. 31 Bom. 165 (1906).

⁽⁴⁾ L.R. 15 I.A. 211 : s.c. I.L.R. 11 All. 47 (1888).

⁽¹⁾ L.R. 25 I.A. 183 : s.c. I.L.R. 21 All. 71 : 2 C.W.N. 729 (1898).

⁽³⁾ I.L.R. 31 Bom. 165 (1906).

⁽⁴⁾ L.R. 15 I.A. 211 : s.c. I.L.R. 11 All. 47 (1888).

⁽⁵⁾ L.R. 18 I.A. 158 at p. 164: s.c. I.L.R. 19 Cal. 123 (1891).

⁽⁴⁾ L.R. 15 I.A. 211 at p. 219: s.c. ILR 11 All. 47 (1888).

⁽⁶⁾ I.L.R. 33 Bom. 411 at p. 416 (1909).

⁽⁷⁾ 11 Bom. L.R. 693 at p. 697 (1909).

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